

THE TERROR OF THE OIL PATCH

Thomas Boone Pickens, Jr., grew up in the oil business. His father was a *landman*—a businessman who negotiates mineral rights from landowners and then *turns* or sells the rights to third-party mineral prospectors. He studied geology at college. When he graduated 1951, he started working as a geologist for Phillips Petroleum. Founded in 1917 by Frank Phillips, one of the original *wildcatters*—prospectors who drill for oil away from known oil and gas fields—Phillips Petroleum was one of the 20 largest corporations in America when Pickens arrived, and heavily bureaucratic. He started as a field geologist, but was rapidly promoted to well-site exploration work. Chafed by the bureaucracy of such a large corporation, Pickens struck out on his own in late 1954. Acting as his own landman, he sought a *farmout*, where a leaseholder sublets his acreage to a third party willing to drill a well. Pickens approached his old employer Phillips to drill acreage on which it owned leases about to expire, but wasn't interested in drilling. Phillips agreed, and Pickens took the deal to an independent oilman who paid him \$2,500 for putting it together.

After cutting his teeth with his first deal, he continued doing work typical for a small oil business—geological consulting, lease exploration and development, farmout structuring, and well-site work—until he struck on the idea of raising external funds to drill his own wells through limited partnerships. The oil partnerships took Pickens' little consulting business to a new level. By early 1964, he was able to roll up the limited partnerships into a public company called Mesa Petroleum, sold to the investors on the basis that shares in a public company with an interest in each well provided more diversification and liquidity than a limited partnership interest in an individual well. Mesa Petroleum started life on April 30, 1964, as a tiny public company; too small, in fact, to be traded on the over-the-counter market, where the smallest public companies trade. With just 239 shareholders, Pickens as chief executive officer and president was also responsible for providing the brokerage service, matching buyers and sellers with each other. The shares changed hands for \$6 on average. It generated just \$1.5 million in revenue in its first year as a public company. By 1968 Mesa earned \$1.5 million on revenues of \$6.8 million, and the stock, then traded on the American Stock Exchange, sold for \$35. Pickens decided to use Mesa's now-attractive stock for its first acquisition.

In early 1968 he started analyzing the Hugoton Production Company, which was brought to his attention because it had aborted several merger attempts with other companies. What attracted Pickens to Hugoton was its huge gas reserves—it had 1.7 trillion cubic feet versus Mesa's 62 billion—which Hugoton management seemed to be slowly depleting at a below-market